

CASE STUDY #12 — DIGITAL

EdTech Freemium-to-Premium Conversion Decline

Introduction

The client operates a freemium test-prep app with 5 million monthly active free users and a premium subscription tier priced at ₹999/month. Over the past two quarters, the free-to-paid conversion rate has fallen from 3.2% to 1.6%, even as free-user signups continued to grow.

Background

Marketing spend on acquisition has stayed flat, and the premium feature set has not changed. Management wants a root-cause diagnosis and a plan to restore conversion.

Approach: Step-by-Step Diagnostic Walkthrough

- **Step 1 — Break Down Conversion:** $\text{Conversion} = (\text{Users who hit a paywall}) \times (\text{Paywall-to-trial rate}) \times (\text{Trial-to-paid rate})$. Isolate which stage of the chain has degraded.
- **Step 2 — Analyze Paywall Exposure:** the share of free users who ever encounter a paywall has actually risen, so exposure is not the problem.
- **Step 3 — Analyze Paywall-to-Trial Rate:** this rate has fallen sharply — fewer users who see the paywall are starting a free trial, even though trial length and terms are unchanged.
- **Step 4 — Segment the Drop:** the decline is concentrated among users acquired through referral and short-video ads, which now account for 55% of new signups, versus organic and search where rates are stable.
- **Step 5 — Identify the Root Cause:** users from referral and short-video channels arrive with lower intent — drawn by viral content or referral incentives rather than an active exam-prep need — so they structurally convert at a lower rate. The acquisition mix shift, not a product or pricing change, is diluting blended conversion.

Root Cause and Recommended Actions

- **Root Cause:** a shift in acquisition mix toward lower-intent channels (referral, short-video ads) is dragging down blended conversion, not a weaker product or paywall experience.
- **Short-Term:** report conversion by acquisition channel rather than blended, and introduce a lighter-weight, lower-price micro-offer for low-intent channel users.
- **Long-Term:** rebalance acquisition spend toward higher-intent channels, and build an intent-scoring model at signup to route users into differentiated onboarding and monetization funnels.

Final Note

Fixing the measurement first — segmenting conversion by channel — and the funnel second, with a differentiated offer for low-intent users, addresses the actual driver of the decline rather than making product or pricing changes aimed at the whole user base.

Questions for Discussion

- Why can a blended metric like overall conversion rate mask a channel-mix problem, and how should reporting be redesigned to avoid this?
- What are the risks of introducing a lower-priced micro-offer specifically for low-intent users?
- How should the client balance cheap-but-low-intent acquisition channels against more expensive but higher-converting ones?